2019–20, from 1 October 2020. From 1 January 2021, the system of e-invoicing has been extended to businesses with a turnover of more than Rs 100 crore.

The government is moving progressively to bring more businesses under the e-invoicing system. From 1 April 2021, the e-invoicing system has been extended to businesses with an annual turnover of more than Rs 50 crore.

Most businesses in India have a turnover under Rs 50 crore. Like the compulsory electronic filing of income tax returns, compulsory uploading of invoices should be made mandatory for all businesses in a year's time.

Considerable Business Still Remains outside the GST System

Besides petroleum products, there are two categories of businesses that either remain out of the GST system or interact with it in a form and manner different than required under GST design.

There is an exemption from the obligation to register under GST and make GST payment if a supplier of service has an aggregate turnover under Rs 20 lakh a year. This is applicable to service providers through e-commerce or in the course of interstate services. For goods, this minimum threshold has been raised to Rs 40 lakh with effect from 1 April 2019. Businesses have the option to obtain multiple registrations in a state if they have more than one place of business.

Businesses with turnover under Rs 1.5 crore of goods or Rs 0.5 crore of services are allowed to be assessed under a 'composition scheme'. Tax rates applicable for goods turnover is 1 per cent to 5 per cent; for services turnover, it is 6 per cent. This facility is provided to small traders with turnover under Rs 5 crore. These businesses can file quarterly returns. Two types of such traders (B2C or B2C+B2B) file their returns in a simpler form (Sahaj and Sugam) quarterly.